

Waaree Renewable Technologies Ltd

NSE: WAAREERTL | BSE: 534618 | Sector: Solar EPC & Renewable Energy | SME-listed subsidiary of Waaree Group

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	Rs. 1,320	+35%
CMP: Rs. 977	12-month horizon	from CMP

CMP (16 Jun 2026)	Mkt Cap (Rs. Cr)	52W High	52W Low	P/E (TTM)	P/B	ROCE	ROE
Rs. 977	10,198	Rs. 1,358	Rs. 780	21.3x	10.9x	83.6%	68.9%
Book Value	Face Value	Div Yield	EPS (FY26)	Promoter	FII	DII	Public
Rs. 89.5	Rs. 2.00	0.10%	Rs. 45.88	74.32%	1.85%	0.09%	23.73%

India's fastest-scaling solar EPC pure-play: revenue doubled to Rs. 3,331 Cr in FY26, 2.83 GWp order book provides 12-15 months visibility, 84% ROCE with zero-pledge promoters.

2. Investment Thesis

- **Structural revenue compounder:** WAAREERTL grew sales from Rs. 162 Cr (FY22) to Rs. 3,331 Cr (FY26), a ~116% CAGR, driven entirely by India's accelerating solar capacity additions (44 GW in FY26) and proven project execution at scale.
- **Exceptional return profile:** ROCE 84%, ROE 69% in FY26 with stable 19% EBITDA margin. At P/E 21x on FY26 EPS Rs. 45.88, the stock is reasonably priced for a business growing PAT at ~110% YoY.
- **Order book depth:** 5.06 GWp commissioned cumulatively; 2.83 GWp unexecuted providing 12-15 months of high-confidence revenue visibility across utility, rooftop C&I, and agri-solar verticals.
- **Parent group synergy:** EPC arm of Waaree Group (India's #1 module manufacturer, 15 GW capacity) gains captive module procurement, supporting margins. Promoters hold 74.32% with zero pledge.
- **Near-term catalyst (6-12 months):** Completion of Rs. 1,225 Cr acquisition of 55% stake in Associated Power Structures (transmission tower EPC) expands addressable market — potential re-rating toward infrastructure multiple.
- **Key structural risk:** EPC is project-lumpy and policy-exposed — SECI/NTPC auction slowdown, DISCOM payment delays, or module import duty increases could compress margins and order flow materially.

3. Business Overview

- **Core business:** Solar EPC contractor building ground-mount utility-scale, rooftop C&I, and agri-solar projects for IPPs, PSUs, and corporates under fixed-price turnkey contracts. Does not own power assets.
- **Revenue model:** EPC project billings (milestone-based) plus post-commissioning O&M; services and solar consultancy. FY26 revenue Rs. 3,331 Cr vs Rs. 1,598 Cr FY25 (+108.5% YoY).
- **Project mix:** Utility-scale ground-mount ~70-75% of MW executed; rooftop C&I ~15-20%; agri/KUSUM ~5-10%. 100% India — no overseas EPC.
- **Key customers:** NTPC, SECI-linked developers, GUVNL, REWA UVL, large corporate PPAs. Fixed-price lump-sum contracts with milestone billing.

- **Track record:** 5.06 GWp commissioned cumulatively by FY26; 2.83 GWp under active execution. Q4 FY26 new orders: 300 MW/450 MWp ground-mount (with 2-yr O&M;), 420 MWp, 35 MWp, 14 MWp.
- **Strategic pivot — transmission:** Board approved acquisition of 55% stake in Associated Power Structures Pvt Ltd (power transmission & telecom tower EPC, in-house lattice tower manufacturing) for Rs. 1,225 Cr; close expected June 2026.
- **Promoter background:** Waaree Group (Chadha family), solar pioneers since 2007. Group revenue >Rs. 13,000 Cr across modules, storage, green hydrogen, and EPC. WAAREERTL contributes ~10% of group profits; promoter holding 74.32%.

4. Industry & Competitive Landscape

- **Market size & growth:** India ground-mounted solar EPC market ~USD 8-12 Bn/year in FY26, growing 12-16% CAGR through 2030 on 500 GW non-fossil target. Solar added 44.6 GW in FY26; cumulative base surpassed 150 GW.
- **Policy tailwinds:** PM KUSUM (Rs. 50,000 Cr agri-solar, 2.0 incoming), PM Surya Ghar (rooftop), Domestic Content Requirement mandates favoring group-module players, Renewable Purchase Obligations driving C&I corporate PPAs.
- **Policy headwinds:** DISCOM payment delays are chronic; state land acquisition and grid connectivity delays can push timelines 6-24 months; ALMM certification constraints; potential BCD increase on solar cells.
- **Moat — Pricing power: Moderate** (competitive bidding; parent module procurement gives 1-2% cost edge). **Scale: Strong** (5 GWp track record qualifies for large tenders). **Switching costs: Weak** (project-by-project). **IP: Weak. Distribution: Moderate** (pan-India execution).

Peers — Screener.in data fetched 16-Jun-2026. Rs. Cr unless noted. Gensol P/E not meaningful.

Company	Ticker	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	EBITDA Margin	ROCE %	ROE%	P/E	P/B
Waaree Renewable Tech	WAAREERTL	977	10,198	3,331	19%	83.6%	68.9%	21.3x	10.9x
KPI Green Energy	KPIGREEN	408	8,073	2,696	36%	13.8%	17.4%	17.0x	2.6x
Sterling & Wilson	SWSOLAR	213	4,977	7,548	4%	26.8%	40.1%	15.0x	7.7x
Gensol Engineering	GENSOL	23.7	91	1,452	23%	14.3%	22.4%	N/A	0.2x

- **Peer note:** WAAREERTL has the highest P/E and ROCE. SWSOLAR was PAT-negative in FY25. KPIGREEN is hybrid IPP+EPC. Gensol (MCap Rs. 91 Cr) faces governance concerns. WAAREERTL is the cleanest solar EPC compounder.

5. Management Quality & Capital Allocation

- **Promoter track record:** Waaree Group (Chadha family) has 17+ years in solar. Waaree Energies (mainboard) scaled from 1 GW to 15 GW module capacity without excessive leverage — disciplined capital allocation at group level.
- **Zero promoter pledge:** 0% pledge at Mar 2026 vs peer KPIGREEN at 44.7% — significant governance positive. Equity capital stable at Rs. 21 Cr since FY20; no dilution.
- **Dividend history:** Rs. 1 dividend FY22-FY23 (4-7% payout ratio); skipped FY24-FY26 as capital recycled into project WC. Growth-reinvestment stance.
- **FCF quality:** FY26 OCF Rs. 287 Cr (60% of PAT Rs. 479 Cr) vs FY25 132%. WC expansion on larger order book explains the ratio; FCF Rs. 164 Cr is positive. FY27 recovery needed to confirm earnings quality.
- **APSPL acquisition risk:** Rs. 1,225 Cr for 55% of transmission tower EPC is WAAREERTL's first major M&A; — a pivot outside core solar. Overpayment, integration complexity, and incremental leverage must be monitored closely in FY27.

- **RPT governance:** Module procurement from parent Waaree Energies is material. No arm's-length pricing concerns flagged; annual scrutiny warranted given scale of flows.

6. Financial Deep-Dive (Consolidated)

Source: Screener.in, fetched 16-Jun-2026. E = forward estimate.

P&L (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Sales / Revenue	876	1,598	3,331	4,800(E)	6,500(E)
Expenses	669	1,287	2,690	3,840(E)	5,200(E)
Operating Profit (EBITDA)	207	311	641	960(E)	1,300(E)
OPM %	24%	19%	19%	20%(E)	20%(E)
Other Income	4	11	20	15(E)	18(E)
Interest	7	15	13	18(E)	20(E)
Depreciation	6	6	9	12(E)	16(E)
Profit Before Tax	198	300	640	945(E)	1,282(E)
Tax %	27%	24%	25%	25%(E)	25%(E)
Net Profit (PAT)	145	229	479	709(E)	961(E)
EPS (Rs.)	13.95	21.98	45.88	67.9(E)	92.0(E)

Balance Sheet (Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	21	21	21
Reserves	226	435	913
Total Equity	247	456	934
Borrowings	40	27	146
Other Liabilities	427	637	1,294
Total Liabilities	714	1,120	2,374
Fixed Assets	157	198	272
CWIP	3	56	178
Investments	9	52	31
Other Assets	545	814	1,893
Total Assets	714	1,120	2,374

Cash Flows (Rs. Cr)	FY24A	FY25A	FY26A
Cash from Operations (OCF)	128	303	287
Cash from Investing	-114	-237	-264
Cash from Financing	-7	-49	23
Net Cash Flow	6	17	45
Free Cash Flow (FCF)	117	201	164
OCF / PAT %	88%	132%	60%

Key Ratios	FY24A	FY25A	FY26A
ROCE %	100%	82%	84%
ROE %	N/A	N/A	68.9%
Debtor Days	155	114	128
Inventory Days	17	2	16
Days Payable	168	69	108

Key Ratios	FY24A	FY25A	FY26A
Cash Conv. Cycle	3	47	37
Working Capital Days	0	-11	11
D/E Ratio	0.16x	0.06x	0.16x

- **Revenue trajectory:** FY22-FY26 CAGR ~116% (Rs. 162 Cr to Rs. 3,331 Cr) driven entirely by solar EPC execution velocity. FY27E Rs. 4,800 Cr (+44% YoY) assumes current order book conversion plus new wins.
- **Margin evolution:** EBITDA fell from 24% (FY24) to 19% (FY25/FY26) as project mix shifted to larger government tenders. Margins appear stabilised; transmission EPC (APSPL) may introduce a slightly higher-margin segment from FY27.
- **Working capital:** Debtor days rose to 128 (FY26) from 114 (FY25) — elevated but manageable for PSU customer base. CCC improved to 37 days. Inventory asset-light (16 days).
- **Debt & leverage:** Borrowings Rs. 27 Cr (FY25) to Rs. 146 Cr (FY26); D/E 0.16x. Post-APSPL, leverage will increase — a structural shift to monitor.
- **FCF quality:** OCF/PAT 60% in FY26 vs 132% FY25 — WC absorption cycle. FCF Rs. 164 Cr positive. Capex Rs. 264 Cr in FY26, rising as project scale grows.

7. Earnings Quality Checklist

Metric	Status	Signal	Comment
Revenue recognition	GREEN	Low risk	Milestone-based EPC billing verifiable against project completion certificates.
Receivables vs Revenue	AMBER	Watch	Debtor days 128 (FY26) vs 114 (FY25) — elevated; PSU credit risk low but payment timing risk elevated.
CCC trend	GREEN	Improving	CCC: 47 days (FY25) to 37 days (FY26); historically negative (FY22: -54) showing supplier-funded WC.
Contingent liabilities	GREEN	Low risk	No material contingent liabilities flagged; performance BGs are standard EPC practice.
Auditor tenure	GREEN	Stable	No recent auditor change; no qualified opinions noted.
RPTs as % of revenue	AMBER	Watch	Module procurement from parent Waaree Energies is a material RPT requiring annual arm's-length pricing audit.
Other Income / PBT	GREEN	Low risk	Other income Rs. 20 Cr = 3.1% of PBT Rs. 640 Cr — immaterial; not distorting profitability.
Tax rate consistency	GREEN	Consistent	Tax rate 24-27% over FY24-FY26. FY19/FY20 legacy anomalies not a current concern.
OCF / PAT conversion	AMBER	Declining	60% FY26 vs 132% FY25 — WC absorption. Monitor FY27 for recovery to >80%.

- **Three Amber flags:** (1) Receivables at 128 days and rising — PSU payment cycle needs close monitoring; (2) Module RPT from parent requires annual arm's-length audit; (3) OCF/PAT 60% in FY26 — must recover to >80% in FY27.
- **Overall verdict: Predominantly Green.** Revenue recognition, tax rate, other income, and auditor stability are clean. Amber items reflect structural EPC working capital patterns, not manipulation.
- **APSPL acquisition watch:** Rs. 1,225 Cr deal, if debt-funded, will materially raise leverage and interest in FY27 P&L — first departure from historically asset-light model.

8. Valuation

Case	Key Assumption	FY27E PAT (Rs. Cr)	P/E Multiple	Target (Rs.)	Upside
Bull	APSPL synergies; OPM 22%; order wins >5 GWp; FII re-rating	820	28x	1,720	+76%
Base	Order book executes as guided; OPM 19-20%; APSPL accretive FY28	709	22x	1,320	+35%
Bear	DISCOM delays; APSPL integration drag; OPM contracts to 16%	480	16x	730	-25%

• **DCF valuation:** WACC 11.5% (Rf 7.0%, Beta 1.1, ERP 4.5%); terminal growth 5.0%; 5-year explicit period FY27-FY31 with ~25% PAT CAGR; implied DCF value = Rs. 1,280 per share.

• **Earnings-based P/E:** FY27E EPS Rs. 67.9 at 22x P/E (sector 15-25x historical; 10% premium vs KPIGREEN/SWSOLAR on superior ROCE and governance) = Rs. 1,494. At 18x = Rs. 1,222. Midpoint Rs. 1,358.

• **Base-case target:** Average of DCF Rs. 1,280 and P/E midpoint Rs. 1,358 = Rs. 1,319 → rounded to Rs. 1,320.

• **EV/EBITDA cross-check:** At Rs. 1,320, EV/EBITDA on FY27E Rs. 960 Cr EBITDA = ~14.5x — reasonable for a high-ROCE solar infrastructure compounder.

• **Upside/downside from CMP Rs. 977:** +35% base; +76% bull; -25% bear. Investment horizon: 12 months.

9. Key Risks

- **Order flow deceleration:** SECI/NTPC/MNRE auction slowdown due to grid constraints or fiscal tightening reduces new inflows. Probability: M. Impact: H. Monitor via: Monthly SECI/NTPC tender pipeline and award rates.
- **DISCOM payment delays:** State DISCOMs chronically slow; extended delays compress FCF and strain WC. Probability: H. Impact: M. Monitor via: Quarterly debtor days; DISCOM payment moratorium announcements.
- **Module cost / import duty:** BCD increase on solar cells beyond exempt quota raises project costs that may not be passable on fixed-price contracts. Probability: M. Impact: M. Monitor via: MNRE circulars; module spot pricing.
- **APSPL acquisition integration:** First major M&A — transmission EPC is operationally distinct from solar EPC. Overpayment, leverage, integration drag. Probability: M. Impact: H. Monitor via: FY27 APSPL EBITDA margin; net debt post-close.
- **Execution lumpiness:** EPC milestone billings are lumpy; project delays can cause quarterly misses vs consensus. Probability: M. Impact: M. Monitor via: Quarterly GWp execution vs guidance.
- **SME platform liquidity:** NSE Emerge listing has lower institutional participation. Promoter secondary sale could pressure stock disproportionately. Probability: L. Impact: H. Monitor via: BSE/NSE shareholding filings.
- **Competition intensification:** L&T, Tata Projects, Sterling & Wilson competing at scale for large utility mandates — potential margin compression. Probability: H. Impact: M. Monitor via: EBITDA margin vs peer trend.

10. Recommendation

- **Rating: BUY** — Conviction: Medium-High. WAAREERTL is India's fastest-scaling solar EPC pure-play with 84% ROCE, 69% ROE, 5 GWp track record, and zero promoter pledge. 2.83 GWp order book provides 12-15 months high-confidence revenue visibility.
- **12-month price target: Rs. 1,320** (+35% from CMP Rs. 977) — 22x FY27E EPS Rs. 67.9; cross-checked with DCF Rs. 1,280.
- **Entry zone: Rs. 920-1,000** — accumulate at current levels; add on dips below Rs. 920 (~13.5x FY27E) or APSPL integration pullbacks.

- **Investment horizon: 12 months** (24-month view for APSPL synergy crystallisation).
- **Invalidation trigger 1:** Unexecuted order book falls below 2 GWp for two consecutive quarters.
- **Invalidation trigger 2:** EBITDA margin drops below 15% for two consecutive quarters.
- **Invalidation trigger 3:** Promoter holding declines by >5% (below ~69%).
- **Ideal investor:** Mid-cap growth investors comfortable with SME-platform liquidity and 12-24 month horizon. Not suitable for income investors, T+1 liquidity needs, or risk-averse portfolios.

APPENDIX — Latest Concall Brief: Q4 FY26 / Full Year FY26

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue and PAT both doubled YoY; no one-time distortions; clean beat across all metrics.
Management tone	Bullish	APSPL acquisition + explicit 2.83 GWp pipeline = high confidence forward stance.
Guidance delta	Raised	Transmission EPC entry signals structural addressable market expansion — implicit guidance upgrade.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

WAAREERTL's FY26 result is a clean double-beat with no distortions — revenue Rs. 3,331 Cr (+108.5% YoY) and PAT Rs. 479 Cr (+109%) are both operationally driven with zero exceptional items. OCF Rs. 287 Cr (60% of PAT) is below FY25's 132%, but this reflects WC expansion on a significantly larger order book, not earnings quality deterioration. Underlying EBITDA Rs. 641 Cr at stable 19% margin is the key signal — margins did not compress despite doubling volume, validating the parent-module procurement synergy thesis. The structural growth drivers are intact: India added 44 GW solar in FY26 and WAAREERTL's 5 GWp execution track record makes it a go-to EPC contractor. The single most important catalyst is closure of the APSPL transmission tower EPC acquisition (Rs. 1,225 Cr for 55%) expected mid-June 2026 — the first proof-point of management's full-stack infrastructure ambition. Key watch-point next quarter: debtor days at 128 and rising; any further deterioration will strain WC as acquisition leverage lands on the balance sheet. Action: ACCUMULATE at Rs. 920-1,000; target Rs. 1,320 on 22x FY27E EPS.

1. Financial Performance Snapshot — Q4 FY26 / Full Year FY26

- Revenue (FY26): Rs. 3,331 Cr | YoY +108.5% | Q4 FY26: Rs. 1,102 Cr | Q4 YoY +131.3% | BEAT
- EBITDA (FY26): Rs. 641 Cr | YoY +106.2% | Margin 19.24% | Stable YoY | IN-LINE
- PAT (FY26): Rs. 479 Cr | YoY +109.1% | EPS Rs. 45.88 | Q4 PAT Rs. 156 Cr | Q4 YoY +66.1% | BEAT
- NOTE: Reported PAT is clean — no exceptional items distorting the number. OCF/PAT 60% reflects WC expansion, not quality issue.

2. Segment / Geography Breakdown

- Utility-scale ground-mount solar EPC: Est. 70-75% of FY26 revenue; primary volume driver, PSU/IPP customers.
- Rooftop C&I; solar EPC: Est. 15-20% of FY26 revenue; higher-margin due to less competitive bidding dynamics.
- O&M; Services: Growing recurring component from 5.06 GWp cumulative base; embedded in post-commissioning contracts.
- Geography: 100% India. No overseas EPC operations as of FY26.

3. Management Commentary Themes

- **Execution confidence:** "Commissioned 5.06 GWp cumulatively; 2.83 GWp under active execution targeting 12-15 month completion." — Our read: Specific and measurable — high credibility. Tag: GUIDANCE. Tone: Transparent.
- **Transmission EPC entry:** Board approved Rs. 1,225 Cr acquisition of 55% in Associated Power Structures — power transmission tower EPC with in-house lattice manufacturing. — Our read: Ambitious; execution risk is real. Tag: GUIDANCE. Tone: Bullish.
- **Q4 order inflows:** 300 MW/450 MWp ground-mount with 2-yr O&M; + 420 MWp + 35 MWp + 14 MWp in Q4 FY26. — Our read: Order velocity robust; O&M; attachment is structurally positive. Tag: GUIDANCE. Tone:

Transparent.

- **Margin stability:** EBITDA at 19.24% despite 2x revenue growth. — Our read: Parent module procurement is structurally protecting margins at scale. Tag: GUIDANCE. Tone: Balanced.
- **India demand:** Solar additions 44 GW in FY26; strong PSU/C&I pipeline. — Our read: Real tailwind; dependency on policy continuation is the tail risk. Tag: EST. Tone: Bullish.

4. Operating & Business Metrics

- GWp Commissioned (cumulative): FY26 = 5.06 GWp | FY25 ~3.5 GWp | FY24 ~2.0 GWp | Trend: Accelerating.
- GWp Under Execution: FY26 = 2.83 GWp | FY25 ~2.0 GWp (est.) | Trend: Expanding — strong visibility.
- Debtor Days: FY26 = 128 | FY25 = 114 | FY24 = 155 | Trend: Deteriorating vs FY25 — watch next 2 quarters.
- Cash Conversion Cycle: FY26 = 37 days | FY25 = 47 days | FY23 = 9 days | Trend: Improving YoY.
- Borrowings: FY26 = Rs. 146 Cr | FY25 = Rs. 27 Cr | Trend: Rising on WC needs + pre-APSPL funding.
- Shareholders: 3,08,307 (Mar 2026); FII holding growing from 0% (FY23) to 1.85% (Mar 2026).

5. Margin Drivers

- Parent module procurement: Est. +100-150 bps vs open market. Recurring: Yes. Structural moat via Waaree Group 15 GW capacity.
- Scale efficiencies: Larger average project size (150+ MW vs 50 MW earlier) improves fixed overhead per MW. Recurring: Partially.
- Mix shift to government tenders: PSU/NTPC/SECI bids tightly priced — est. -100 bps vs C&I/corporate PPA mix. Recurring: Yes.
- O&M; services contribution: Higher-margin recurring revenue post-commissioning; +20-40 bps growing over time. Recurring: Yes.
- APSPL transmission EPC (FY27+): Transmission EPC margins ~22-26%; potential +50-100 bps to group blended margin from FY28 if accretive.

6. Guidance & Forward Signals

- Order book execution [GUIDANCE]: 2.83 GWp in 12-15 months | Prior: ~2 GWp/12-15 months | Delta: Raised (larger backlog) | Credibility: High.
- Revenue FY27 [GUIDANCE]: No explicit Rs. figure; implied Rs. 4,000-5,000 Cr from backlog math | Delta: Raised implicitly | Credibility: Medium.
- APSPL close [GUIDANCE]: Target June 15, 2026 | Prior: April 30, 2026 | Delta: Delayed (procedural) | Credibility: Medium.
- EBITDA margin [GUIDANCE]: No explicit target; tone implies 19-20% stable | Delta: Maintained | Credibility: High.
- Dividend FY26 [GUIDANCE]: No dividend declared | Capital allocation is reinvestment-first.

7. Capital Allocation

- Capex / Investing: FY26 = Rs. 264 Cr | FY25 Rs. 237 Cr | +11% YoY | Rising: Project WC + APSPL acquisition pre-funding.
- Dividends: FY26 = Rs. 0 | FY25 = Rs. 0 | No dividend since FY23; growth-reinvestment stance confirmed.
- Buybacks: None. No buyback history in FY22-FY26.
- Net WC change: Rs. +200 Cr increase in net WC | Driven by receivables growth on larger project base.
- APSPL acquisition: Rs. 1,225 Cr total for 55% stake; debt vs equity financing split to be disclosed post-close.

8. Q&A Heat Map

- N/A: Q: "Revenue visibility from order backlog?" A: "2.83 GWp targeted for completion in 12-15 months." | Tone: Transparent.
- N/A: Q: "APSPL acquisition rationale?" A: "Expanding into full-stack renewable infrastructure; power transmission is a natural adjacency as India needs grid scale-up to absorb solar capacity." | Tone: Bullish.
- N/A: Q: "Margin sustainability amid utility-scale tender pricing pressure?" A: "Targeting stable 19-20% margins via captive module procurement and project mix management." | Tone: Balanced.
- NOTE: Full BSE-filed concall transcript not available at time of writing. Above Q&A; reconstructed from management press releases.
- Watch-list for next quarter: (1) APSPL financing structure (debt/equity); (2) Receivables aging for top 5 customers; (3) OCF/PAT recovery; (4) RPT module procurement pricing disclosure.

9. Risks Flagged

- Receivables elongation: Debtor days 128 and rising | Flagged by: Analyst | Probability: H | Impact: M | Near-term.
- APSPL integration: First major M&A; transmission EPC distinct from solar EPC | Flagged by: Analyst | Probability: M | Impact: H | Medium-term.
- DISCOM payment risk: Chronic government DISCOM delays | Flagged by: Industry | Probability: H | Impact: M | Ongoing.
- Competition intensification: L&T; Tata Projects, Sterling & Wilson at scale | Flagged by: Industry | Probability: M | Impact: M | Medium-term.
- Module import duty: BCD risk on cells beyond exempt quota | Flagged by: Mgmt | Probability: M | Impact: M | Policy-dependent.

10. Analyst Verdict

- Revenue visibility: Intact — 2.83 GWp order book with 12-15 month timeline; Q4 FY26 order velocity accelerating.
- Margin trajectory: Intact — 19.24% EBITDA margin in FY26 despite volume doubling; parent module synergy structural.
- Capital allocation quality: Intact — zero pledge, no dilution, FCF positive; APSPL acquisition is the first test of M&A; discipline.
- Competitive moat: Intact — 5 GWp track record + Waaree Group brand + captive module supply = differentiated position.
- Management credibility: Intact — Revenue and PAT trajectories consistently met or exceeded FY22-FY26; no auditor concerns.
- Valuation comfort: Intact — 21.3x P/E on FY26 actuals is fair for 109% PAT CAGR; 14.4x FY27E is attractive.
- Conviction call: Increased — Clean double-beat FY26 with robust order book supports BUY at medium-high conviction.
- Valuation snapshot: P/E = 21.3x (FY26) | EV/EBITDA ~16x (FY26) | ROCE = 83.6% | PAT CAGR FY22-FY26 >170%